Crisil
Ratings

# Rating Rationale

December 01, 2025 | Mumbai

# Medicamen Biotech Limited

*Ratings reaffirmed at 'Crisil BBB- / Stable / Crisil A3 '*

**Rating Action**

| | |
|---|---|
| **Total Bank Loan Facilities Rated** | **Rs.42 Crore** |
| **Long Term Rating** | **Crisil BBB-/Stable (Reaffirmed)** |
| **Short Term Rating** | **Crisil A3 (Reaffirmed)** |

*Note: None of the Directors on Crisil Ratings Limited's Board are members of rating committee and thus do not participate in discussion or assignment of ar*
*The Board of Directors also does not discuss any ratings at its meetings.*
*1 crore = 10 million*
*Refer to Annexure for Details of Instruments & Bank Facilities*

**Detailed Rationale**

Crisil Ratings has reaffirmed its 'Crisil BBB-/Stable/Crisil A3' ratings on the bank facilities of Medicamen Biotech Ltd part of the Medicamen group).

The ratings continue to reflect the strong track record of the group in the pharmaceutical industry and the company's financial risk profile. These strengths are partially offset by modest scale of operations and large working capital requi

**Analytical Approach**

Crisil Ratings has combined the business and financial risk profiles of MBL and its subsidiary, Medicamen Life Scien Ltd. These entities, collectively referred to as the Medicamen group, are in the same business and have c management with operational and financial linkages.

*Please refer Annexure - List of Entities Consolidated, which captures the list of entities considered and their analytical treatment of consolidation.*

**Key Rating Drivers - Strengths**

**Strong track record in the pharmaceutical industry:** The promoters have experience of around three decades pharmaceuticals industry and diversified clientele comprising the government sector and other customers across In Africa. Going forward, with the group planning to diversify its product portfolio along with geographical diversificatio order book, the overall business risk profile should remain supported. As a result, the group is expected to close the fiscal with operating income of Rs 180-200

**Healthy financial risk profile:** Networth of the group is likely to strengthen to Rs 215-220 crore as on Ma 2026 (Rs 205.5 crore as on March 31, 2025), backed by expected accretion to reserves, thereby aiding the structure. With no sizeable debt-funded capital expenditure (capex), gearing is expected to be 0.18-0.20 on March 31, 2026. Furthermore, moderate debt and stable operating profitability is expected to keep th protection metrics comfortable, with interest coverage and net cash accrual to total debt ratios expected at 6 tim 0.4 time, respectively, during fiscal 2026.

**Key Rating Drivers - Weaknesses**

**Modest scale of operations:** Temporary disturbances in the overseas market has kept the group's scale of ope modest with operating income of Rs 163 crore in fiscal 2025 (Rs 179 crore in fiscal 2024). The moderation in revenue account of delay in regulatory approvals, resulting in lower order execution of Rs 11-12 crore. However, going forwa operating income of Rs 90 crore booked till September 2025, and strong order pipeline, the group is expected to revenue growth of 9-10%, driven by improved volume and customer additions across new geogr

**Large working capital requirement:** Gross current assets (GCAs) were high at around 364 days as on March 31, 20
to stretched receivables of 157 days (increasing from 113 days in the previous fiscal). While the group gives credit o
days to domestic clients, payment from the rest of the world takes 50-60 days, depending on the shipment. Export re
is also delayed due to lengthy invoicing and limited ship availability, causing long waits for shipments to Africa. Consec
the work-in-progress inventory remains high along with large inventory of raw material, given the diverse
portfolio. Payments are usually backed by letter of credit or advance in case of exports. Large credit of 120-140 days ex
by suppliers (active pharmaceutical ingredient manufacturers) partly eases pressure on the working capital cycle. I
working capital management amid increasing scale of operations will be closely monitored. The GCAs are expecte
350-400 days over the medium term.

**Liquidity** Adequate
Bank limit utilisation averaged 70.16% for the 12 months through October 2025. Cash accrual of R
20 crore remain sufficient to meet debt obligation of Rs 0.25-0.50 crore over the medium term. The current ratio re
healthy at 2.07 times as on March 31, 2025. Dividend payout is estimated to be 10% of paid-up capital

**Outlook** Stable
The group will continue to benefit from its strong track record in the pharmaceutical industry.

**Rating sensitivity factors**
**Upwards factors**

- Growth in revenue to over Rs 200 crore and stable operating margin of 15-16%, leading to highe expected net cash accrual
- Prudent working capital management, strengthening the financial risk profile

**Downwards factors**

- Decline in revenue by over 20% and steep fall in operating margin, leading to lower cash accrual
- Any substantial, debt-funded capex or further stretch in the working capital cycle, impacting the finan profile and liquidity

**About the Group**
MBL, incorporated in 1993, manufactures pharmaceutical formulations for the overseas and domestic markets. Formu
are based on betalactum and non-betalactum drugs. The group is listed on the Bombay Stock Exchange (BSE). In No
2015, Shivalik Rasayan Ltd, another BSE-listed company, along with five people acting in concert, had acquired
MBL. Shivalik Rasayan Ltd currently has 41.6% holding in MBL. MBL has manufacturing facilities in Bhiwadi, Rajasth
Haridwar, Uttarakhand.

**Key Financial Indicators**

| As on/for the period ended March 31 | Unit | 2025 | 20 |
|---|---|---|---|
| Operating income | Rs crore | 162.54 | 179 |
| Reported profit after tax (PAT) | Rs crore | 6.55 | 9.4 |
| PAT margin | % | 4.02 | 5.2 |
| Adjusted debt/adjusted networth | Times | 0.19 | 0.1 |
| Interest coverage | Times | 5.41 | 4.4 |

**Any other information:** Not applicable

**Note on complexity levels of the rated instrument:**
Crisil Ratings` complexity levels are assigned to various types of financial instruments and are included (where applic
in the 'Annexure - Details of Instrument' in this Rating Rationale.

Crisil Ratings will disclose complexity level for all securities - including those that are yet to be placed - based on avai
information. The complexity level for instruments may be updated, where required, in the rating rationale published
subsequent to the issuance of the instrument when details on such features are available.

For more details on the Crisil Ratings` complexity levels please visit www.crisilratings.com. Users may also call the Customer Service Helpdesk with queries on specific instruments.

**Annexure - Details of Instrument(s)**

| ISIN | Name Of Instrument | Date Of Allotment | Coupon Rate (%) | Maturity Date | Issue Size (Rs.Crore) | Complexity Levels | Rating Outsta with Outlo |
|---|---|---|---|---|---|---|---|
| NA | Bank Guarantee | NA | NA | NA | 1.50 | NA | Crisil A3 |
| NA | Cash Credit | NA | NA | NA | 23.00 | NA | Crisil BBB-/S |
| NA | Composite Working Capital Limit | NA | NA | NA | 10.50 | NA | Crisil BBB-/S |
| NA | Letter of Credit | NA | NA | NA | 7.00 | NA | Crisil A3 |

**Annexure - List of Entities Consolidated**

| Names of Entities Consolidated | Extent of Consolidation | Rationale for Consolidation |
|---|---|---|
| Medicamen Biotech Limited | Full consolidation | Common management and busine and financial fungibility |
| Medicamen Life Sciences Private Limited | Full consolidation | Common management and busine and financial fungibility |

**Annexure - Rating History for last 3 Years**

| | Current | | | 2025 (History) | | 2024 | | 2023 | | 2022 | | Start o |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Instrument | Type | Outstanding Amount | Rating | Date | Rating | Date | Rating | Date | Rating | Date | Rating | Rati |
| Fund Based Facilities | LT | 33.5 | Crisil BBB-/Stable | | -- | 04-09-24 | Crisil BBB-/Stable | 07-06-23 | Crisil BBB-/Stable | 29-03-22 | Crisil BBB-/Stable | Crisil A3 BBB-/S |
| Non-Fund Based Facilities | ST | 8.5 | Crisil A3 | | -- | 04-09-24 | Crisil A3 | 07-06-23 | Crisil A3 | 29-03-22 | Crisil A3 | Crisil |

*All amounts are in Rs.Cr.*

**Annexure - Details of Bank Lenders & Facilities**

| Facility | Amount (Rs.Crore) | Name of Lender | Rating |
|---|---|---|---|
| **Bank Guarantee** | **1.5** | **IndusInd Bank Limited** | **Crisil A3** |
| **Cash Credit** | **23** | **IndusInd Bank Limited** | **Crisil BBB-/Stab** |
| **Composite Working Capital Limit** | **10.5** | **Citibank N. A.** | **Crisil BBB-/Stab** |
| **Letter of Credit** | **7** | **IndusInd Bank Limited** | **Crisil A3** |

## Criteria Details

| **Links to related criteria** |
|---|
| **Basics of Ratings (including default recognition, assessing information adequacy)** |
| **Criteria for manufacturing, trading and corporate services sector (including approach for financial ratios)** |
| **Criteria for consolidation** |

| Media Relations | Analytical Contacts | Customer Service Helpdes |
|---|---|---|

| | | |
|---|---|---|
| **Ramkumar Uppara**<br>Media Relations<br>**Crisil Limited**<br>M: +91 98201 77907<br>B: +91 22 6137 3000<br>ramkumar.uppara@crisil.com<br><br>**Kartik Behl**<br>Media Relations<br>**Crisil Limited**<br>M: +91 90043 33899<br>B: +91 22 6137 3000<br>**kartik.behl@crisil.com**<br><br>**Divya Pillai**<br>Media Relations<br>**Crisil Limited**<br>M: +91 86573 53090<br>B: +91 22 6137 3000<br>**divya.pillai1@ext-crisil.com** | Nitin Kansal<br>Director<br>**Crisil Ratings Limited**<br>B:+91 124 672 2154<br>nitin.kansal@crisil.com<br><br>Gaurav Arora<br>Associate Director<br>**Crisil Ratings Limited**<br>B:+91 124 672 2000<br>gaurav.arora@crisil.com<br><br>Chaya Walia<br>Rating Analyst<br>**Crisil Ratings Limited**<br>B:+91 124 672 2000<br>chaya.walia@crisil.com | Timings: 10.00 am to 7.00 pm<br>Toll free Number:1800 267 3850<br><br>For a copy of Rationales / Rating Re<br>CRISILratingdesk@crisil.com<br><br>For Analytical queries:<br>ratingsinvestordesk@crisil.com |




**About Crisil Ratings Limited (A subsidiary of Crisil Limited, an S&P Global Company)**

Crisil Ratings pioneered the concept of credit rating in India in 1987. With a tradition of independence, analytical rigour and innovation, we set the standards in the credit rating business. We rate the entire range of debt instruments, such as bank loans, certificates of deposit, commercial paper, non-convertible/convertible/partially convertible bonds and debentures, perpetual bonds, bank hybrid capital instruments, asset-backed and mortgage-backed securities, partial guarantees and other structured debt instruments. We have rated over 33,000 large and mid-scale corporates and financial institutions. We have also instituted several innovations in India in the rating business, including ratings for municipal bonds, partially guaranteed instruments and infrastructure investment trusts (InvITs).

Crisil Ratings Limited ('Crisil Ratings') is a wholly-owned subsidiary of Crisil Limited ('Crisil'). Crisil Ratings Limited is registered in India as a credit rating agency with the Securities and Exchange Board of India ("SEBI").

For more information, visit www.crisilratings.com

**About Crisil Limited**

Crisil is a leading, agile and innovative global analytics company driven by its mission of making markets function better.

It is India’s foremost provider of ratings, data, research, analytics and solutions with a strong track record of growth, culture of innovation, and global footprint.

It has delivered independent opinions, actionable insights, and efficient solutions to over 100,000 customers through businesses that operate from India, the US, the UK, Argentina, Poland, China, Hong Kong and Singapore.

It is majority owned by S&P Global Inc, a leading provider of transparent and independent ratings, benchmarks, analytics and data to the capital and commodity markets worldwide.

For more information, visit www.crisil.com

Connect with us: TWITTER | LINKEDIN | YOUTUBE | FACEBOOK

---



## DISCLAIMER

This disclaimer is part of and applies to each credit rating report and/or credit rating rationale ('report') provided by Crisil Ratings Limited ('Crisil Ratings'). For the avoidance of doubt, the term 'report' includes the information, ratings and other content forming part of the report. The report is intended for use only within the jurisdiction of India. This report does not constitute an offer of services. Without limiting the generality of the foregoing, nothing in the report is to be construed as Crisil Ratings provision or intention to provide any services in jurisdictions where Crisil Ratings does not have the necessary licenses and/or registration to carry out its business activities. Access or use of this report does not create a client relationship between Crisil Ratings and the user.

The report is a statement of opinion as on the date it is expressed, and it is not intended to and does not constitute investment advice within meaning of any laws or regulations (including US laws and regulations). The report is not an offer to sell or an offer to purchase or subscribe to any investment in any securities, instruments, facilities or solicitation of any kind to enter into any deal or transaction with the entity to which the report pertains. The recipients of the report should rely on their own judgment and take their own professional advice before acting on the report in any way.

Crisil Ratings and its associates do not act as a fiduciary. The report is based on the information believed to be reliable as of the date it is published, Crisil Ratings does not perform an audit or undertake due diligence or independent verification of any information it receives and/or relies on for preparation of the report. THE REPORT IS PROVIDED ON “AS IS” BASIS. TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAWS, CRISIL RATINGS DISCLAIMS WARRANTY OF ANY KIND, EXPRESS, IMPLIED OR OTHER WARRANTIES OR CONDITIONS, INCLUDING WARRANTIES OF MERCHANTABILITY, ACCURACY, COMPLETENESS, ERROR-FREE, NON-INFRINGEMENT, NON-INTERRUPTION, SATISFACTORY QUALITY, FITNESS FOR A PARTICULAR PURPOSE OR INTENDED USAGE. In no event shall Crisil Ratings, its associates, third-party providers, as well as their directors, officers, shareholders, employees or agents be liable to any party for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees or losses (including, without limitation, lost income or lost profits and opportunity costs) in connection with any use of any part of the report even if advised of the possibility of such damages.

The report is confidential information of Crisil Ratings and Crisil Ratings reserves all rights, titles and interest in the rating report. The report shall not be altered, disseminated, distributed, redistributed, licensed, sub-licensed, sold, assigned or published any content thereof or offer access to any third party without prior written consent of Crisil Ratings.

Crisil Ratings or its associates may have other commercial transactions with the entity to which the report pertains or its associates. Ratings are subject to revision or withdrawal at any time by Crisil Ratings. Crisil Ratings may receive compensation for its ratings and certain credit-related analyses, normally from issuers or underwriters of the instruments, facilities, securities or from obligors.

Crisil Ratings has in place a ratings code of conduct and policies for managing conflict of interest. For more detail, please refer to: https://www.crisil.com/en/home/our-businesses/ratings/regulatory-disclosures/highlighted-policies.html. Public ratings and analysis by Crisil Ratings, as are required to be disclosed under the Securities and Exchange Board of India regulations (and other applicable regulations, if any), are made available on its websites, www.crisilratings.com and https://www.ratingsanalytica.com (free of charge). Crisil Ratings shall not have the obligation to update the information in the Crisil Ratings report following its publication although Crisil Ratings may disseminate its opinion and/or analysis. Reports with more detail and additional information may be available for subscription at a fee. Rating criteria by Crisil Ratings are available on the Crisil Ratings website, www.crisilratings.com. For the latest rating information on any company rated by Crisil Ratings, you may contact the Crisil Ratings desk at crisilratingdesk@crisil.com, or at (0091) 1800 267 3850.

Crisil Ratings shall have no liability, whatsoever, with respect to any copies, modifications, derivative works, compilations or extractions of any part of this [report/ work products], by any person, including by use of any generative artificial intelligence or other artificial intelligence and machine learning models, algorithms, software, or other tools. Crisil Ratings takes no responsibility for such unauthorized copies, modifications, derivative works, compilations or extractions of its [report/ work products] and shall

Crisil Ratings uses the prefix 'PP-MLD' for the ratings of principal-protected market-linked debentures (PPMLD) with effect from November 1, 2011, to comply with the SEBI circular, "Guidelines for Issue and Listing of Structured Products/Market Linked Debentures". The revision in rating symbols for PPMLDs should not be construed as a change in the rating of the subject instrument. For details on Crisil Ratings' use of 'PP-MLD' please refer to the notes to Rating scale for Debt Instruments and Structured Finance Instruments at the following link: https://www.crisilratings.com/en/home/our-business/ratings/credit-ratings-scale.html